

Enlivex Therapeutics Ltd. (ENLV)
Rating: Buy

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Underrated Prediction Markets Position; Allocetra Focus; Raising PT to \$13

Stock Data		1/9/2026	
Price		\$0.90	
Exchange		NASDAQ	
Price Target		\$13.00	
52-Week High		\$2.10	
52-Week Low		\$0.66	
Enterprise Value (M)		\$181	
Market Cap (M)		\$199	
Shares Outstanding (M)		237.4	
3 Month Avg Volume		3,974,581	
Short Interest (M)		0.23	
Balance Sheet Metrics			
Cash (M)		\$18.2	
Total Debt (M)		\$0.0	
Total Cash/Share		\$0.08	
Book Value/Share		\$0.72	
EPS (\$) Diluted			
Full Year - Dec	2024A	2025E	2026E
1Q	(0.22)	(0.15)A	(0.01)
2Q	(0.16)	(0.08)A	(0.01)
3Q	(0.12)	(0.09)A	(0.01)
4Q	(0.23)	(0.03)	(0.01)
FY	(0.73)	(0.21)	(0.05)


Entry into prediction markets via innovative digital asset treasury strategy.

We draw investors' attention to the transaction late last year via which Enlivex entered into a securities purchase agreement for a private investment in public equity (PIPE) for the purchase and sale of 212M ordinary shares (or ordinary share equivalents in lieu thereof) at a price of \$1.00 per share, representing a premium of 11.5% from the closing price of the stock on November 21, 2025, for aggregate gross proceeds of approximately \$212M (funded in a combination of \$USD and USDT), before deducting placement agent fees and other offering expenses. Enlivex utilized the majority of the net proceeds from the PIPE to implement the first RAIN prediction markets token treasury strategy, while continuing its focus on core business operations. RAIN is a fully decentralized predictions and options protocol built on the Arbitrum network. The protocol is fully permissionless, allowing anyone to create and trade custom options on any market. Market outcomes can be AI-resolved, and the platform is governed by the RAIN token, which features a built-in, deflationary Buyback & Burn mechanism. Designed to be the "Uniswap" of prediction markets, RAIN is a protocol where anyone, from anywhere, can create any type of market, whether it's public or private, in any language.

RAIN token portfolio appears undervalued. The RAIN token has been trading on crypto exchanges since September 9, 2025. To date, its aggregate trading volume in 3.5 months surpassed \$1.5B, and currently stands at ~\$55M daily, representing current annual trading volume rate of \$20B. The total trading volume on various prediction markets increased exponentially from 2024, reaching \$4B weekly earlier this year, a 130x increase in volume during that period. The RAIN Foundation, which aimed to establish the RAIN token as the lead protocol designed to serve the prediction markets segment in a decentralized manner, is expecting to reach 5% of that market going forward. It reached \$10M of trading volume during its beta launch period, similar to what Polymarket achieved in the first few months of its launch, and is expected to grow exponentially upon the full launch in February. Enlivex currently has 75,789,453,031 RAIN tokens in its portfolio. RAIN's current price is \$0.008384; the token has been trading in the range of \$0.007-\$0.008 since the ENLV DAT announcement late last year. We note that last week the RAIN token was listed on the KuCoin cryptocurrency exchange.

Option to purchase additional RAIN tokens creates a significant potential future value driver.

Investors should also be aware that Enlivex holds an option to purchase up to an additional \$918M worth of RAIN, at a per-token price of \$0.0033. Clearly, this option is already in-the-money and has a rough current value of ~\$1.4B, assuming that Enlivex could raise the cash—presumably through equity issuances—to exercise it in full. We note that Enlivex's current market valuation does not ascribe any value to this option, which could represent a meaningful potential future value driver. The option expires on December 1, 2026.



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Token appreciation may occur steadily, driven by rapidly rising liquidity and a "buy and burn" mechanism. We believe that the precedent cases of Polymarket and Kalshi—which recently reached an \$11B valuation—demonstrate the potential trajectory that the RAIN token could follow given the seemingly inexorable growth of prediction markets. RAIN's unique "buy and burn" mechanism with 2.5% of the total volume creates an interesting feature going forward. Assuming the overall annual prediction markets volume in five years would be \$1T and RAIN reaches \$50B (5% of the total market), \$1.25B worth of RAIN tokens would be bought and burned that year. Assuming that the cumulative RAIN trading volume from 2026 leading to that event is another \$50B over the next four years, it would have already burned through another \$1.25B worth of RAIN. This would substantially increase the daily trading volume of the RAIN token, while effectively forcing up the per-token price. While our valuation assessment assumes no increase in the value of the RAIN token beyond its current market price, the potential evolution of RAIN's market value could prove this assumption to be conservative. We reiterate our Buy rating, while raising our 12-month price target to \$13 from the prior \$7 per share. This accounts for the share dilution due to the recent PIPE transaction, as well as the value of the RAIN tokens held on Enlivex's balance sheet as well as the value of the option to purchase additional RAIN tokens if exercised in full along with the revised valuation of Enlivex's clinical-stage programs with Allocetra™ in osteoarthritis (OA).

Osteoarthritis therapeutic activity profile continues to look promising. An investigator-initiated Phase 1 trial is ongoing to evaluate the safety, tolerability and initial efficacy of Allocetra for injection into the temporomandibular joint (TMJ) in patients with TMJ OA. This trial may also yield initial data near-term. Enlivex also released six-month data from its proof-of-concept study of Allocetra in knee OA in late November 2025. At the six-month time point, Allocetra continued to demonstrate substantial and durable reduction in pain and improvement in function across multiple efficacy endpoints evaluated in the same primary age group (60+), as compared to placebo. These findings were consistent with the three-month observations, as well as the robust positive correlation between patients' age and the magnitude of the clinical effect and its statistical significance. Allocetra demonstrated a clinically meaningful improvement in pain and function, a composite endpoint which we expect to be a key endpoint in the follow-up pivotal studies, reaching statistical significance at age 60+ by the three-month time point (-26.8 points in the Allocetra-treated group vs. -13.4 points in the placebo group, corresponding to 99% improvement over the placebo group (scale 0-100; p=0.008), and at the six-month time point at age 61+ (-27.8 points in the Allocetra-treated group vs. -15.5 points in the placebo group, corresponding to 80% improvement over the control group (scale 0-100; p=0.02).) Allocetra continued to demonstrate a favorable safety profile through the six-month follow-up, consistent with the previously reported three-month data. Enlivex continues to contemplate the investigation of the applicability of Allocetra in other OA sub-indications—in particular, the company is conducting a Phase 1/2 proof-of-concept study in basal thumb OA. The basal thumb OA study is also slated to yield six-month top-line data in the coming months.

Valuation and Risks. We value Enlivex using a discounted cash flow (DCF)-based methodology. This employs a 15% discount rate, 1% terminal growth rate and 25% effective tax rate. Conservatively, we currently only model Allocetra sales in osteoarthritis (OA) and sepsis, although the platform may have applicability in other indications as well. We derive a total firm value of \$4.66B, or a price target of \$13 per share assuming 371M fully-diluted shares outstanding as of end-2026. Investors should note that our 12-month price target assumes the exercise in full of all outstanding stock options, pre-funded warrants and longer-dated warrants with exercise prices below \$4 per share, along with the issuance of sufficient shares of common stock to facilitate the exercise in full of the option to purchase additional RAIN tokens. We further assume that Enlivex would be able to exercise the option and sell the corresponding RAIN tokens on the open market. Risks to price target achievement include, but are not limited to: (1) adverse results from clinical studies; (2) inability to identify partners to advance applications in various indications; (3) failure to file for approval of Allocetra in a timely manner; (4) inability to secure approval of Allocetra; (5) lower-than-expected market penetration; (6) RAIN token price volatility; (7) RAIN token liquidity challenges; and (8) possible near- to medium-term dilution risk.

Table 1: Enlivex Therapeutics Ltd. (ENLV)—Historical Income Statements, Financial Projections

FY end December 31

\$ in thousands, except per share data

	2024A				2024A	2025E				2025E	2026E
	1QA	2QA	3QA	4QA		1QA	2QA	3QA	4QE		
Revenue											
Product revenue	-	-	-	-	-	-	-	-	-	-	-
Research and other	-	-	-	-	-	-	-	-	-	-	-
Total revenue	-	-	-	-	-	-	-	-	-	-	-
Expenses											
Research & development	2,857	1,999	2,348	3,419	10,623	2,550	2,141	1,484	1,900	8,075	10,000
Loss on disposal of assets held for sale	201	-	-	151	352	29	-	-	-	29	-
General and administrative	1,093	987	771	2,062	4,913	954	937	1,073	1,400	4,364	4,000
Total expenses	4,151	2,986	3,119	5,632	15,888	3,533	3,078	2,557	3,300	12,468	14,000
Gain (loss) from operations	(4,151)	(2,986)	(3,119)	(5,632)	(15,888)	(3,533)	(3,078)	(2,557)	(3,300)	(12,468)	(14,000)
Other income/expense											
Financial income	11	(110)	517	456	874	81	1,210	352	-	1,643	-
Financial expenses	-	-	-	-	-	-	-	-	-	-	-
Total investment income and other	11	(110)	517	456	874	81	1,210	352	-	1,643	-
Loss before provision for income taxes	(4,140)	(3,096)	(2,602)	(5,176)	(15,014)	(3,452)	(1,868)	(2,205)	(3,300)	(10,825)	(14,000)
Deferred income tax benefit	-	-	-	-	-	-	-	-	-	-	-
Net loss/income	(4,140)	(3,096)	(2,602)	(5,176)	(15,014)	(3,452)	(1,868)	(2,205)	(3,300)	(10,825)	(14,000)
Net loss per share (basic)	(0.22)	(0.16)	(0.12)	(0.23)	(0.73)	(0.15)	(0.08)	(0.09)	(0.03)	(0.21)	(0.05)
Net loss per share (diluted)	(0.22)	(0.16)	(0.12)	(0.23)	(0.73)	(0.15)	(0.08)	(0.09)	(0.03)	(0.21)	(0.05)
Weighted average number of shares outstanding (basic)	18,727	19,545	21,278	22,506	20,514	23,759	23,856	24,046	130,303	50,491	285,622
Weighted average number of shares outstanding (diluted)	18,727	19,545	21,278	22,506	20,514	23,759	23,856	24,046	130,303	50,491	285,622

Source: Company reports and H.C. Wainwright & Co. estimates.

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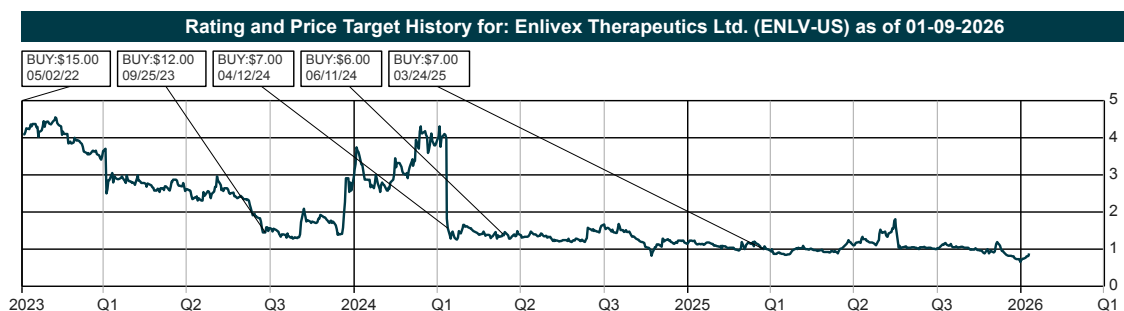
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RETURN ASSESSMENT

Market Outperform (Buy): The common stock of the company is expected to outperform a passive index comprised of all the common stock of companies within the same sector.

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Distribution of Ratings Table as of January 9, 2026				
Ratings	Count	Percent	IB Service/Past 12 Months	
			Count	Percent
Buy	573	86.69%	148	25.83%
Neutral	62	9.38%	8	12.90%
Sell	2	0.30%	0	0.00%
Under Review	24	3.63%	4	16.67%

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